DEAL IMPACT NOTE CRCL x HYPE UPDATED 15 MAY 2026 FOR FRENS AND FAMILIE ONLY

Circle (CRCL) Ã— Hyperliquid (HYPE) â€” Partnership Impact Analysis

Two-stage deal reshapes stablecoin infrastructure for on-chain derivatives â€” UPDATED: AQAv2 split confirmed, CRCL revenue impact inverted

UPDATE â€” 15 MAY 2026

AQAv2 revenue split confirmed at 90% to Hyperliquid / 10% to Coinbase. Circle's net revenue from the $5B Hyperliquid **USDC** pool is effectively zero. What was a projected ~$200M/year revenue tailwind for **CRCL** is now a ~$200M/year revenue hole vs. the pre-deal baseline. **CRCL** positioning downgraded to monitoring only. See updated sections 03, 05, and 06.

01 â€” DEAL SUMMARY

Stage 1 â€” September 16, 2025 (Circle-led): Circle launched native **USDC** on HyperEVM (Hyperliquid's EVM smart contract layer), integrated **CCTP** V2 cross-chain transfers across 12+ chains, acquired ~80,000 **HYPE** tokens (~$4.6M at ~$58/**HYPE**), and announced evaluation of a Hyperliquid validator position. HyperCore **CCTP** V2 support flagged as "coming in weeks."

Stage 2 â€” May 13â€“14, 2026 (Coinbase-led, Circle-adjacent): Coinbase named as Hyperliquid's official **USDC** treasury deployer under the **AQAv2** framework. Hyperliquid's native stablecoin **USDH** â€” launched ~October 2025 â€” was sunset after seven months; Coinbase purchased the **USDH** brand assets. **AQAv2 revenue split now confirmed: Hyperliquid receives 90% of reserve yield on USDC balances (~$180M/year at current supply); Coinbase retains 10% (~$20M/year). Circle's net from this pool: ~$0. USDC** supply on Hyperliquid: ~$5B.

The combined effect: USDC is now the structurally locked quote currency of the largest perp DEX by volume, and the platform generating that volume captures the reserve yield. For **HYPE** this is a fundamental step-change. For **CRCL** the deal preserves supply dominance at the cost of surrendering the economics.

02 â€” CONTEXT: WHAT EXISTED BEFORE

USDC was already Hyperliquid's dominant collateral from launch in 2023. At the time of the September 2025 announcement, approximately 7% of all **USDC** supply (~$5.3â€“5.5B) resided on Hyperliquid via Arbitrum bridge. The pre-deal arrangement carried material bridge risk and was entirely uncompensated for the platform. Native issuance eliminates the bridge. Circle was formalising a position it already held â€” but the **AQAv2** economics confirm it did so by agreeing to cede the yield.

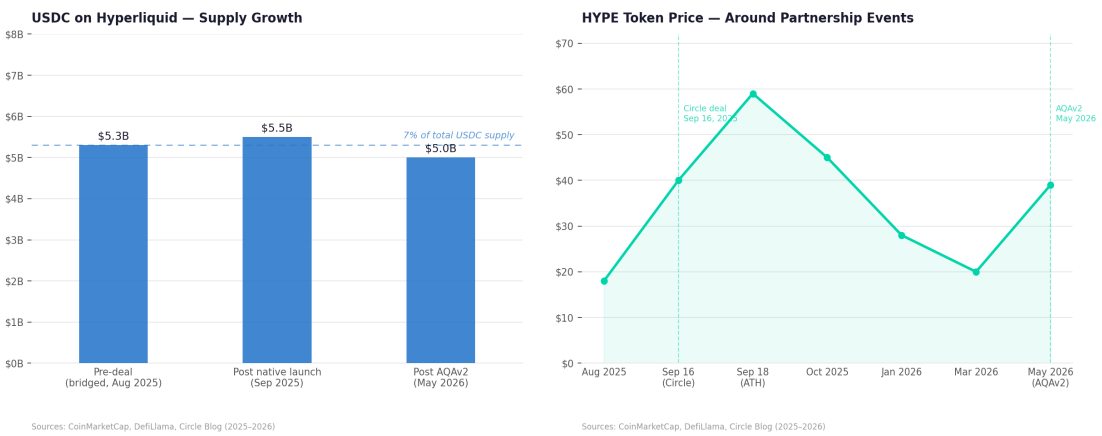

Fig. 1 â€” USDC supply on Hyperliquid and HYPE token price around key partnership events

03 â€” CIRCLE (CRCL): IMPACT ANALYSIS

Business context

CRCL IPO'd June 5, 2025 at $31; surged to an all-time high of ~$299 on June 23, 2025. Currently trading ~$123.65 (as of May 12, 2026), ~59% off the all-time high. FY2025 revenue: $2.7B (+64% YoY). Q1 2026 revenue: $694M (+20% QoQ); net profit down ~15% QoQ (*Directional estimate, pending Circle's own Q1 release*). **USDC** circulating supply: ~$75.3B end-2025, ~$77B Q1 2026.

Revenue impact â€” AQAv2 split confirmed (BEARISH)

With the 90/10 split now confirmed, the revenue arithmetic is clear. Circle's gross yield on $5B at ~4% = ~$200M/year. Under **AQAv2**: Hyperliquid receives $180M (90%), Coinbase retains $20M (10%). **Circle's net revenue from the Hyperliquid pool: ~$0.** What was presented as a ~7â€“8% revenue tailwind on FY2025 revenue is now a ~7â€“8% revenue hole vs. the pre-**AQAv2** baseline. The Hyperliquid revenue uplift narrative for **CRCL** is fully inverted. Note: under Circle's standard distribution model, Coinbase already received a substantial share of **USDC** reserve income as a distribution fee (historically cited at ~50%+). **AQAv2** layers the Hyperliquid yield-share on top of â€” or in replacement of â€” that existing arrangement. Either way, Circle nets approximately zero on this pool.

Coinbase: distribution partner turned yield competitor

The **AQAv2** structure reveals Coinbase's willingness to deploy **USDC** yield to win venue distribution deals at Circle's direct expense. Coinbase is not merely a pipeline for **USDC** â€” it is actively structuring yield-share arrangements that strip Circle of the economics on the supply it issues. **If this template extends to other large USDC venues, Circle's effective yield on its total supply pool compresses systemically.** This is the single most important structural risk to the **CRCL** investment case that was not visible before May 15, 2026.

Competitive positioning vs. Tether (unchanged)

USDC market cap grew 73% in 2025 to ~$75B; **USDT** grew 36% to ~$186B. **USDC** is gaining share in supply terms but Tether still holds ~2.5Ã— the total market. **USDC** has overtaken **USDT** in adjusted trading volume â€” *Single source:* Circle now accounts for ~64% of stablecoin trading volume (eand.co, 2026). The Hyperliquid lock-in forecloses Tether from the highest-velocity trading venue in DeFi. Regulatory tailwinds (MiCA, GENIUS Act) remain favourable for Circle. This supply-growth story is now the **only remaining bull leg for CRCL from this partnership** â€” the yield economics have transferred entirely to Hyperliquid.

Defensive motivation: confirmed and costly

The September 2025 deal timeline (Circle native launch Sep 16; **USDH** launch ~Oct 2025) makes the defensive motivation explicit in retrospect. Circle moved to protect ~$5.3B of supply from **USDH** displacement â€" and succeeded. **USDH** is dead. But the cost was agreeing to a 90/10 yield-share that leaves Circle with zero net income from the pool it was defending. Circle kept the supply metric; Hyperliquid captured the cash flow.

HYPE token position

Circle's ~80,000 **HYPE** purchased at ~$58 is now worth ~$3.1M at the current price of ~$39 â€" underwater by ~33%. Not material to **CRCL** balance sheet but directionally negative for the "ecosystem alignment" narrative.

> **Bull Case â€" CRCL**
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> **USDC** supply growth is the remaining thesis. The Hyperliquid supply lock-in forecloses Tether from the largest perp DEX. If **USDC** total supply accelerates to $100B+ on the back of regulatory tailwinds (GENIUS Act, MiCA) and non-Coinbase venue expansion, Circle's reserve income grows on a wider base that is not subject to **AQAv2**-style yield-sharing. The supply story is real; the Hyperliquid economics are not.

> **Bear Case â€" CRCL (STRENGTHENED)**
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> The 90/10 split confirms the worst-case scenario from the prior note. Circle nets ~$0 from a $5B pool that previously generated ~$200M/year. Coinbase is now structurally positioned as a yield intermediary that can offer similar arrangements to other high-volume venues. If even 20â€"30% of **USDC** supply ends up under **AQAv2**-style structures, Circle's effective yield on total supply compresses by 100â€"200bps. Q1 2026 net profit is already down ~15% QoQ. JPMorgan's $155 Overweight was set before this split was confirmed â€" a downward revision is likely. Oppenheimer's Neutral looks prescient.

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04 â€" HYPERLIQUID (HYPE): IMPACT ANALYSIS

Business context

HYPE token price ~$39.08 (May 14, 2026), market cap ~$9.32B (rank #15), fully diluted valuation ~$37.5B. All-time high: $59.37 on September 18, 2025 â€" two days after the Circle announcement. Bridge TVL ~$4.9B. FY2025 protocol revenue: $844M. Annual perp trading volume: ~$2.9T. Open interest: ~$8.9â€"9.6B.

What the deal structurally delivers

Eliminated bridge risk: Prior **USDC** was bridged via Arbitrum. Smart contract exploit risk on a bridge holding $5B is existential for a trading platform. Native issuance removes that tail risk.

Capital efficiency on-ramps: CCTP V2 enables direct **USDC** transfers from 12+ chains without wrapping or DEX routing. Lower friction for institutional and retail entrants.

Protocol-level yield via AQAv2 â€" now confirmed at 90%: Hyperliquid's $5B **USDC** pool was previously inert from the protocol's perspective. Under **AQAv2**, Hyperliquid receives 90% of reserve yield: **~$180M/year at current supply and rates**. Against FY2025 protocol revenue of $844M, this is a **~21% confirmed revenue uplift**. If **USDC** supply on-platform grows toward $8â€"10B, the yield-share contribution reaches $290â€"360M/year â€" a 34â€"43% uplift on the FY2025 base. This is the most consequential confirmed change in **HYPE**'s fundamental valuation case.

USDH sunset removes execution risk: USDH's closure eliminates the operational and regulatory overhead of running a competing stablecoin. The **AQAv2** yield-share achieves the same economic goal without that overhead.

Bull Case â€" HYPE (STRENGTHENED)

AQAv2 yield-share is now confirmed at ~$180M/year incremental revenue â€" a 21% uplift on $844M FY2025 base, with further upside as **USDC** supply grows. The 21Shares **HYPE** spot ETF listed May 13, 2026 creates a regulated institutional vehicle. **HYPE** at $39 is ~34% below its all-time high with a materially stronger fundamental profile than at that high. The confirmed economics justify a position size increase vs. the prior monitoring stance.

Bear Case â€" HYPE

Perp DEX market share erosion is real: Aster holds ~20% of perp DEX share and is growing. A sustained decline from 73% to sub-40% would compress the trading revenue base that supports **HYPE**'s ~$37.5B FDV. **AQAv2** also introduces Coinbase counterparty and regulatory concentration risk. If U.S. regulators challenge the yield-share structure as unregistered securities activity, the model unwinds.

05 â€" FORCE-RANKED IMPACT ASSESSMENT

1	**AQAv2** yield-share (confirmed 90%)	**HYPE**	~$180M/year confirmed incremental revenue vs. $844M FY2025 base = 21% uplift; grows to 34-43% if **USDC** supply reaches $8-10B	Regulatory challenge to yield-sharing structure
2	Tether displacement	**CRCL**	Hyperliquid is now a closed **USDC** ecosystem; Tether cannot compete without native issuance at this venue	Competitor chain with **USDT** integration captures DEX share from Hyperliquid
3	Bridge risk removal	**HYPE**	Tail risk of $5B bridge exploit eliminated; institutional adoption barrier lowered	Smart contract exploit on HyperEVM itself
4	**CRCL** revenue -- INVERTED (headwind)	**CRCL** (negative)	90/10 confirmed: Circle nets ~$0 from the $5B pool. Prior ~$200M/year tailwind is now a ~$200M/year hole vs. pre-deal baseline. JPMorgan $155 target set before split confirmed -- revision likely.	Circle discloses alternative revenue structure in Q1 earnings that offsets the pool loss
5	Institutional legitimacy	**HYPE**	Circle stake + 21Shares **HYPE** ETF = regulated institutional on-ramps now exist	No major institutional flow materialises post-ETF launch

06 â€" TRADEABLE EXPRESSION

CRCL â€” DOWNGRADED TO MONITORING POSITION

Status	DOWNGRADED. Prior 3-4% of book recommendation was based on Hyperliquid as a revenue tailwind. That leg is gone. The position is now a supply-growth monitoring play only.
Entry trigger	(1) Circle Q1 2026 earnings release explicitly quantifies **AQAv2** revenue impact and demonstrates an offsetting revenue source. (2) **USDC** total supply crosses $90B on non-Coinbase venues, confirming yield growth outside the **AQAv2** structure. (3) JPMorgan issues revised target incorporating the 90/10 split and maintains Overweight.
Sizing	Reduce to 1-2% of book (monitoring only). Do not add until Q1 2026 earnings confirm how **AQAv2** is accounted for in Circle's revenue line. If **AQAv2** is absorbed into "distribution costs" without explicit disclosure, treat that as a red flag.
Hedge	Short Coinbase (COIN) as a partial offset -- COIN is the direct beneficiary of the 10% **AQAv2** retention and the treasury deployer role.
Horizon	3-6 months to earnings clarity. Do not extend horizon until the revenue structure is confirmed.
Exit	Close entirely if: (1) additional venues adopt **AQAv2**-style 90/10 arrangements, or (2) Q1 2026 earnings show no disclosure of **AQAv2** impact, suggesting it is being masked in distribution cost line items.

HYPE â€” INCREASE TO CORE POSITION

Status	UPGRADED. **AQAv2** at 90% is confirmed, not directional. The fundamental revenue uplift is real and quantifiable.
Entry trigger	(1) **AQAv2** yield-share mechanics confirmed -- DONE. (2) **USDC** on Hyperliquid growing toward $7B. (3) Perp DEX market share sustaining above 50%.
Sizing	Increase from prior 2-3% to 4-5% of book at current levels. Add to 6-7% on **USDC** supply growth toward $7B on-platform. Use 21Shares **HYPE** ETF for regulated sizing; confirm AUM >$50M before relying on ETF liquidity.
Vehicle	Spot **HYPE** direct or via 21Shares **HYPE** spot ETF (listed May 13, 2026). ETF first-day volume ~$1.8M -- monitor AUM trajectory.
Horizon	9-12 months. The yield-share compounds as **USDC** supply grows.
Exit	Close if perp DEX share falls below 40%, or if **AQAv2** structure is challenged by U.S. regulators, or if Coinbase terminates the treasury deployer arrangement.

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07 â€” WHAT TO MONITOR

CRCL Q1 2026 EARNINGS	Circle's official Q1 2026 release -- confirm whether **AQAv2** impact is disclosed explicitly or absorbed into distribution costs. Explicit disclosure = management accountability. No disclosure = significant red flag for **CRCL**.
COINBASE AQAv2 TEMPLATE	Watch for Coinbase offering similar 90/10 yield-share arrangements to other large **USDC** venues (Bybit, OKX on-chain, GMX). Each new venue under this model is a further Circle margin headwind. This is the single most important structural risk to monitor for **CRCL**.

USDC ON-PLATFORM SUPPLY	DefiLlama / Hyperliquid dashboard -- $5B to $7B+ milestone directly increases **HYPE**'s **AQAv2** yield-share revenue by ~$80M/year per additional $2B.
PERP DEX MARKET SHARE	Coingecko / DefiLlama derivatives -- Aster at ~20% and growing. Watch for Hyperliquid sustaining >50% share. Sub-40% would materially impair the **HYPE** thesis.
JPMORGAN CRCL TARGET REVISION	JPMorgan $155 Overweight was set before the 90/10 split was confirmed and cited Hyperliquid as a named positive. A target revision down toward $110-120 range would confirm the market has repriced the revenue loss.
HYPE ETF AUM GROWTH	21Shares **HYPE** spot ETF (listed May 13, 2026) -- weekly AUM; >$100M signals genuine institutional adoption and supports the legitimacy narrative.
CIRCLE VALIDATOR STATUS	Hyperliquid validator set -- confirm whether Circle has completed validator onboarding. Relevant for **HYPE** decentralisation narrative.
GENIUS ACT PROGRESS	U.S. stablecoin legislation -- passage formally advantages Circle over Tether; supports the supply-growth leg of the **CRCL** bull case.

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08 â€” TIME-SENSITIVE FLAGS & LOW-CONFIDENCE CAVEATS

â€¢ **AQAv2 REVENUE SPLIT [CONFIRMED â€” BEARISH FOR CRCL]:** Split confirmed at 90% to Hyperliquid / 10% to Coinbase (May 15, 2026). Circle's net revenue from the $5B Hyperliquid **USDC** pool is ~$0. Prior analysis treated this as a ~$200M revenue tailwind; it is a ~$200M revenue hole. JPMorgan $155 OW target cited Hyperliquid as a positive and was set before this split was confirmed â€” a downward revision is likely.

â€¢ **COINBASE PRECEDENT RISK [NEW]: AQAv2** reveals Coinbase's willingness to deploy **USDC** yield to win venue deals at Circle's direct expense. If this template extends to other large venues, Circle's effective yield on total supply compresses systemically. This is a structural risk, not a one-off event. No public disclosure from Circle or Coinbase on scope of the arrangement or exclusivity. Watch Coinbase partner announcements.

â€¢ **CIRCLE Q1 2026 NET PROFIT [â€“15% QoQ â€” DIRECTIONAL]:** Sourced from a single Italian crypto publication (Spaziocrypto). Treat as directional only. If confirmed at Q1 earnings, combined with the **AQAv2** revenue loss, the **CRCL** margin compression narrative accelerates materially.

â€¢ **DEFENSIVE MOTIVATION [NOW CONFIRMED]:** The thesis that Circle's September 2025 deal was defensive against **USDH** is now confirmed by outcome. Circle protected its supply position but ceded the economics. This is now established fact, not analytical framing.

â€¢ **USDC ADJUSTED VOLUME 64% SHARE [SINGLE SOURCE]:** Appears in a single source (eand.co, 2026). The directional trend is multi-source confirmed; the specific percentage is not.

â€¢ **CIRCLE VALIDATOR STATUS [UNFOUND]:** As of September 2025, Circle was "evaluating" becoming a Hyperliquid validator. No subsequent confirmation found.

Internal research note â€” not for distribution. All views represent forward-looking estimates subject to material revision. Updated 15 MAY 2026.